



# **Maintaining Goodwill in Bad-News Messages**

Chapter Eight

# Bad News Messages

- At work, almost everyday you have to deal with bad news
- A message that receives unfavorable responses from the reader is called a bad-news message
- A lot of communicators fail to successfully organize bad-news messages
- To succeed, follow effective skills, plans and strategies

# Examples of Bad News Messages

- Request refusals
- Adjustment refusals (Denying a customer's claim)
- Credit Refusal
- Order refusals
- Negative Announcements

# Skills for Negative-News Messages

- **Emotional Intelligence (EI)** is the ability to identify and manage your own emotions and the emotions of others.

# Lack of EI

- We received your application for an HR generalist position at Surf Protect. Unfortunately, we cannot offer you this position. Furthermore, at this time, we don't have any match between your skill set and our needs. As such, you are not required in the near future. You can try other organizations.

Sincerely,

Mark A. Herschberg

# Your Turn

- Do you possess Emotional Intelligence?

# Left/Right Brained?

| Left-brained      | Right-brained |
|-------------------|---------------|
| Logical           | Emotional     |
| Analytical        | Thoughtful    |
| Objective         | Subjective    |
| Critical thinking | Creative      |
| Numbers           | Intuition     |

# Types of Organizational Plans

- There are two types of organizational plans
- Direct Plan
- Indirect Plan



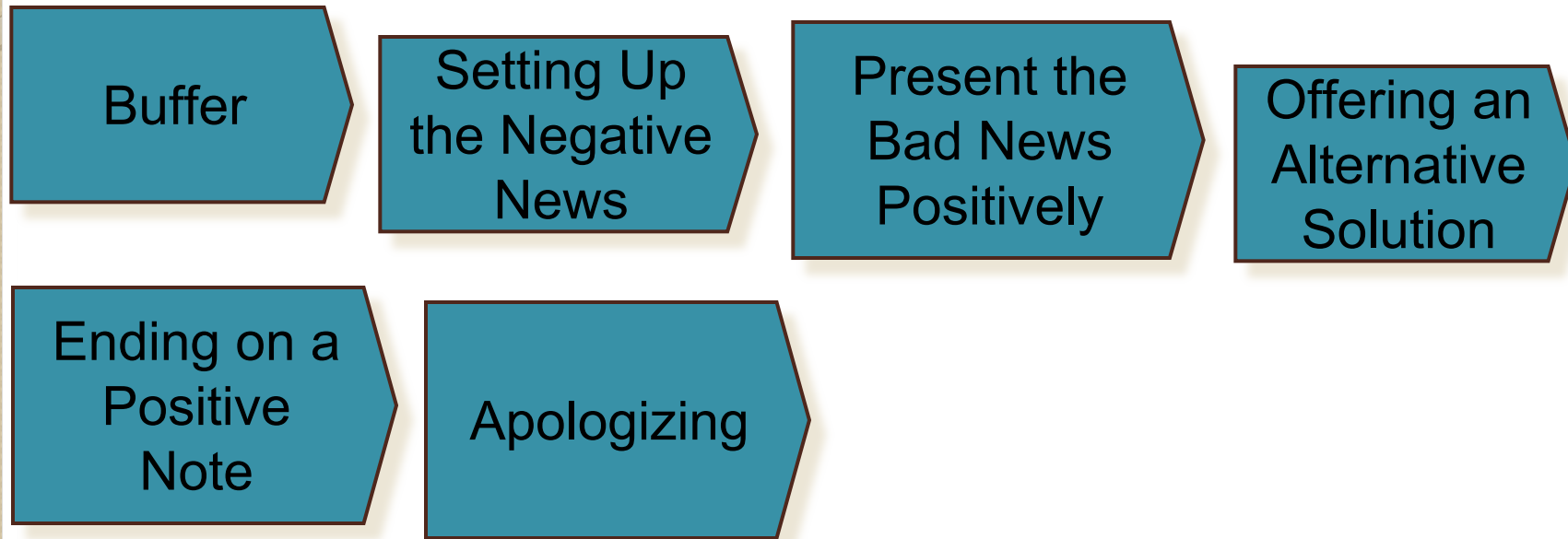
# How to Decide on the Plan?

- A good beginning is to assess readers' probable reaction
- Positive or neutral reaction should invite you to adopt the direct plan
- Negative reaction should invite you to implement the indirect plan

# Direct vs. Indirect Plan

| Direct Plan                                                            | Indirect Plan                                         |
|------------------------------------------------------------------------|-------------------------------------------------------|
| Applies to positive-news messages                                      | Applies to negative-news messages                     |
| Communicates directly                                                  | Communicates indirectly                               |
| Get to the point/ objective right away                                 | Involve buffering                                     |
| Emphasizes on establishing rapport whilst presenting the positive news | Emphasizes on presenting the negative news positively |

# The Indirect Pattern



# The Indirect Pattern

## ● Buffer

- An opening that identifies the subject of the message but doesn't indicate that negative news is coming
- The buffer can be neutral or positive
- Avoid tipping off the bad news too early
- Avoid starting too positive so as to build false hopes

## ● Setting Up the Bad News

- Give the reason
- Communicate the reason in such a way that the reader accepts the reason as positively as possible
- Explain the fairness of the action
- Provide a smooth transition from the opening to the explanation

# The Indirect Pattern

- Present the bad news positively
  - Present the bad news now
  - Place negative news in buried position
  - Avoid unnecessary use of negative words
  - State the bad news once; avoid restating or returning to it
  - Use first and third person. Avoid “you view” point
  - Don’t: *“Since you have broken the seal, state law prohibits us from returning the product to stock”.*
  - Do: *“State law prohibits us from returning to stock all products with broken seals”*

# The Indirect Pattern

- Offering an Alternative Solution

- Try to emphasize on the alternative solution
- It is always a good strategy to focus on what you can do for the reader

- Ending on a Positive Note

- Shift the thoughts of the readers to happier things
- Your comments should not recall the negative message
- End with a positive, forward-looking idea

- Apologize

- Sometimes an apology can make a situation better, but other times it can make a bad situation worse
- If you apologize do it early in the message

# Compose a Draft

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- **Begin with a neutral or pleasant statement.**
- **Explain the reason(s) for the referral.**
- **State or imply the refusal.**
- **Offer an alternative solution or action.**
- **End with a positive, friendly statement.**
  - Conclude with a positive statement.
  - Avoid trite expressions.
  - Close with action required by the receiver.

# Refusal of a Request

## Initial considerations:

- The news is bad.
- The reader wants something; you must refuse.
- Your goals are:
  - to say no, and
  - to maintain goodwill.
- The first goal is easy; the second requires tact.
- You must present reasons that will convince.

# Brief Review of a Procedure for the Refusal of a Request

## The message plan:

**Opening** ● Buffer- identifies the subject but doesn't indicate that negative news is coming

**Body** ● Present reasons using positive language  
● Refuse clearly and positively, embedding where possible to de-emphasize the negative.  
● Include a counterproposal or compromise when appropriate.

**Closing** ● End with an adapted goodwill comment.

# Example: Refusal of a Request

- Mark Stephen runs a big company that is concerned with its Corporate Social Responsibility (CSR). The company involves donating money for the betterment of the children every year.

Terry Driscoll is currently looking after a charity organization which is in need of urgent money for supporting some school going children in the city. As such, Mr. Terry has requested Mr. Mark to donate some money for his organization.

However, unfortunately, Mark is not in a position to help Terry as the budgeted contributions for this year have already been made. All Mark can do is place Terry's organization for consideration next year.

- Now, Mark needs to refuse the request via a letter.

## Example: Refusal of a Request (cont.)

*Subject: Your request for a donation*

*Mr. Terry Driscoll:*

*We regret to inform you that we cannot grant your request for a donation to the association's scholarship fund.*

*So many requests for contributions are made of us that we have found it necessary to budget a definite amount each year for this purpose. Unfortunately, our budget funds for this year have been exhausted, so we simply cannot consider additional requests. We won't be able to consider your request until next year.*

*We deeply regret our inability to help you and trust you understand our position.*

*Regards,*

*Mark Stephen*

# Example: Refusal of a Request (cont.) (A Lot Better!)

*Subject: Scholarship Fund Request*

*Mr. Terry Driscoll:*

*Your effort to build the scholarship fund for the association's needy children are commendable.*

*We assist worthy causes whenever we can. That is why every year January we budget in the upcoming year the maximum amount we believe we are able to contribute to such causes. Then we distribute that amount among the various deserving groups as far as it will go. Since our budgeted contributions for this year have already been made, we are placing your organization for consideration next year.*

*We wish your success in all your efforts to improve the lives of the children in our city.*

*Regards,*

*Mark Stephen*

# Initial Considerations in Writing Credit Refusals

- Refusals of credit are very negative, tending to reflect on one's personal qualities.
- They should be handled tactfully
- Begin by developing an explanation.
  - If finances are weak--can be fairly direct.
  - If morals are weak--should be tactful.

# Brief Review of Procedure for Credit Refusals

## The message plan:

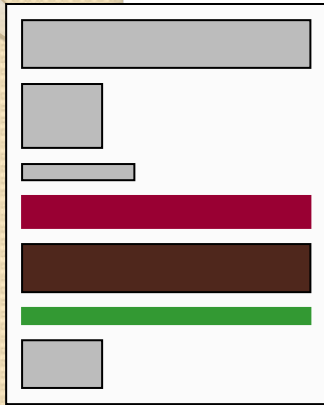
- Opening** ● Begin with words that
- are neutral, and
  - tie in with document being answered.
  - set up the strategy (explanation).
- Body** ● Present the explanation and/or justification.
- As a logical follow-up--refuse tactfully.
    - If to a bad moral risk, may be by implication.
    - If to one with weak finances,
      - should refuse positively, and
      - look hopefully to the future.
- Closing** ● Close with goodwill words that fit the one case and are friendly and forward-looking.

# Credit Refusal

Imagine, you are a customer relationship manager at Argos. One of your customers named John Lamb has made a formal application on March 29 to buy an iPhone 6+ on credit. You have done the research on his credit history and found that he has an unusually heavy burden of invoices to pay within the next few months. As such, you can only allow him to buy the product by cash. However, just as soon as his situation is improved, you can accept the original application.

Write a letter to Mr. John to communicate the bad news

# Tact in a Credit Refusal



Click to view full  
letter at once.

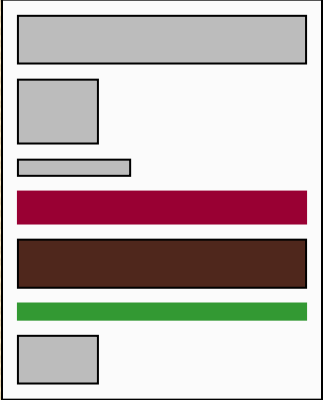
## Opening

Dear Mr. John:

Your March 29 application for credit was genuinely appreciated. We are especially grateful for your pleasant frankness in presenting your request for credit.

# Tact in a Credit Refusal

## Body

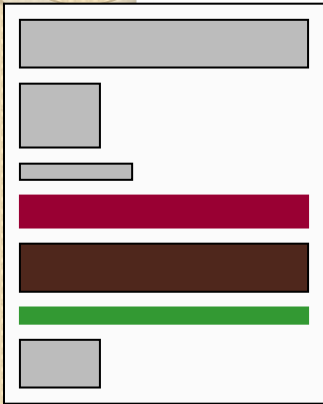


In checking over them, we find that you have an unusually heavy burden of invoices to pay within the next few months. As we see it, burdening you with more bills to pay at this time simply would not make good business sense. Thus, we can sell to you only for cash now. By buying for cash and taking advantage of the cash discount, you would be taking a sound step toward improving the financial health of your business. Just as soon as your situation is improved, we shall open your account.

# Tact in a Credit Refusal

## Closing

We look forward to receiving your order soon. It should mark the beginning of our relationship.



# Initial Considerations in Denying a Customer's Claim

- The decision has been made to refuse an unjustified claim.
- The news is bad.
- The goal is to present the bad news in a positive way.
- Thus, you must think through the situation to develop a strategy to explain or justify the decision.

# Brief Review of Procedure for Denying a Customer's Claim

## The message plan:

**Opening** ● Begin with words that

- are off subject,
- are neutral, and
- set up the message.

**Body** ● Present the strategy that will explain or justify.

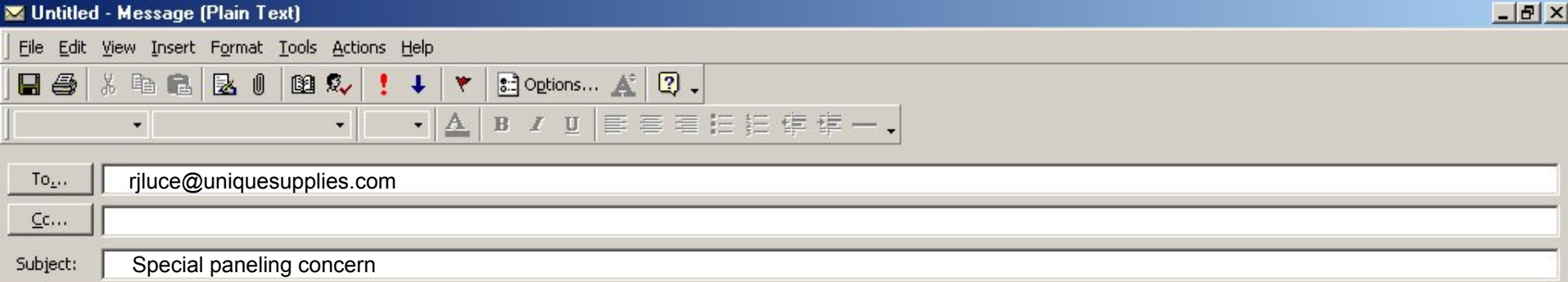
- Make it factual and positive.
- Lead systematically to the refusal.

**Closing** ● Then refuse--clearly and positively.

- End with off-subject, friendly words.

# Denying a Customer's Claim

- Imagine, you are a customer relationship manager at a BHG.com. Your company sells panels for office buildings. A customer named Shane Johnson approached you via a letter on May 11, 2015 in order to return his panels. After reviewing his order, you have found that the architect of Mr. Shane specified a most unusual and distinctive finish. His specifications were in careful detail, and you followed them to the letter. Although the finished paneling is genuinely beautiful, it is unique and could not go into your regular stock. For this reason, you feel that any adjustment in this case must be between Mr. Shane and his architect.
- Your task: Write a letter to Mr. Shane Johnson in order to communicate the bad news

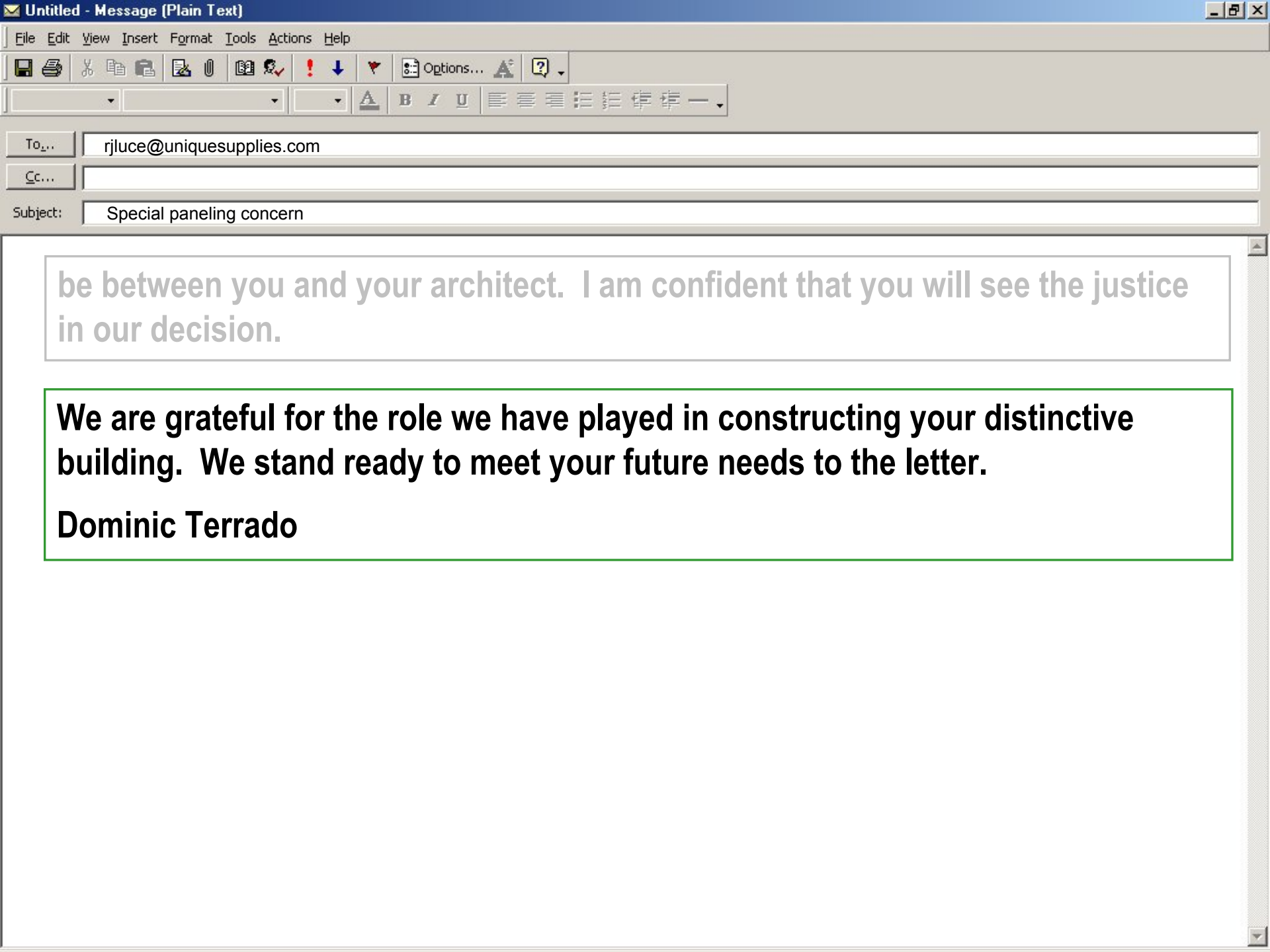


**Mr. Shane:**

**Certainly we understand your concern expressed in your May 11 letter about getting just the right material for your new office building. We share this concern with you. And we are determined to do our part about it.**

**To see whether we have done our part about your special paneling, we reviewed the facts of the case. We find that your architect specified a most unusual and distinctive finish. His specifications were in careful detail, and we followed them to the letter. Although the finished paneling is genuinely beautiful, it is unique and could not go into our regular stock. For this reason, we feel that any adjustment in this case must be between you and your architect. I am confident that you will see the justice in our decision.**

**We are grateful for the role we have played in constructing your distinctive building.**



be between you and your architect. I am confident that you will see the justice in our decision.

**We are grateful for the role we have played in constructing your distinctive building. We stand ready to meet your future needs to the letter.**

**Dominic Terrado**

# Other Negative Messages

- Other negative messages include ***order refusal, negative announcement, claims*** and so forth
- Use the indirect plan and same structure to establish those messages
- Read the books for more examples



- Thank you!